Entity Comparison Worksheet

Use this worksheet to compare your Day 1 working direction against the operating tradeoffs described in the 30 Day Tax Office Launch Toolkit. This worksheet organizes your facts; it does not provide legal or tax advice.

Your Day 1 working direction

[ ] Sole proprietorship

[ ] Limited liability company (LLC)

[ ] C Corporation

[ ] Underlying entity plus S Corporation election

[ ] Professional review needed

What must this structure support?

[ ] One owner at launch

[ ] Two or more owners

[ ] Hiring staff

[ ] Multiple locations

[ ] Future partners or investors

[ ] Strong separation between personal and business obligations

[ ] Flexible tax classification

[ ] Minimal administration

My three most important decision factors

SIDE-BY-SIDE REVIEW

Compare the four operating profiles

Add notes that are specific to your ownership plan, state, income expectations, and growth goals.

Decision area	Sole proprietor	LLC	C Corporation	S Corporation election
What it is	Unincorporated business owned by one individual	State-law legal entity	State-law corporation with default corporate taxation	Federal tax election for an eligible entity
Legal separation	No separate legal entity	Separate state-law entity when properly maintained	Separate shareholder-owned legal entity	Depends on the underlying LLC or corporation
Personal liability	Highest personal-risk tradeoff	Protection for certain business risks, with limits	Strong separation, with limits and formalities	Comes from the underlying legal entity, not the election
Federal tax profile	Income generally reported by owner	Classification depends on ownership and elections	Entity-level tax; dividends may also be taxed	Eligible items generally pass through to shareholders
Administration	Lowest	Moderate	High	High: election, payroll, compensation, and filings
Growth fit	Owner-operated, simple launch	Flexible small-business growth	Formal scale and broader investor flexibility	Eligible owner-operated business ready for payroll discipline

Notes from my comparison

ENTITY FIT CHECK

Stress-test your working direction

Circle or check the answer that best describes your launch, then explain where your facts do not fit neatly into one category.

Ownership

[ ] One individual	[ ] One or more members	[ ] Shareholders / investors	[ ] Eligible S ownership

Protection goal

[ ] Simplicity first	[ ] Separation with flexibility	[ ] Formal legal separation	[ ] Underlying entity plus S taxation

Growth plan

[ ] Remain owner-operated	[ ] Hire or add locations	[ ] Raise capital or add investors	[ ] Eligible owner-operated growth

Administration

[ ] Minimal	[ ] Moderate records	[ ] Formal governance	[ ] Payroll and S filings

My current discussion direction

[ ] Sole proprietorship discussion

[ ] LLC discussion

[ ] C Corporation discussion

[ ] Underlying entity plus S Corporation election discussion

[ ] No clear fit - professional review needed

Why this direction currently fits

PROFESSIONAL REVIEW

Turn uncertainty into better questions

Bring this page, your Day 1 worksheet, and your projected ownership and income information to a qualified attorney, accountant, or tax professional.

What state-law formation and annual requirements apply to each option?

How would each option affect my projected federal and state tax reporting?

What insurance and operational controls are still required?

How should ownership, compensation, and profit distributions be documented?

Would an S Corporation election fit my projected profit, compensation, ownership, and state treatment?

MISSION STANDARD
Do not form an entity or make a tax election until you have verified current federal and state requirements and obtained advice appropriate to your facts.

Professional consulted / official source reviewed